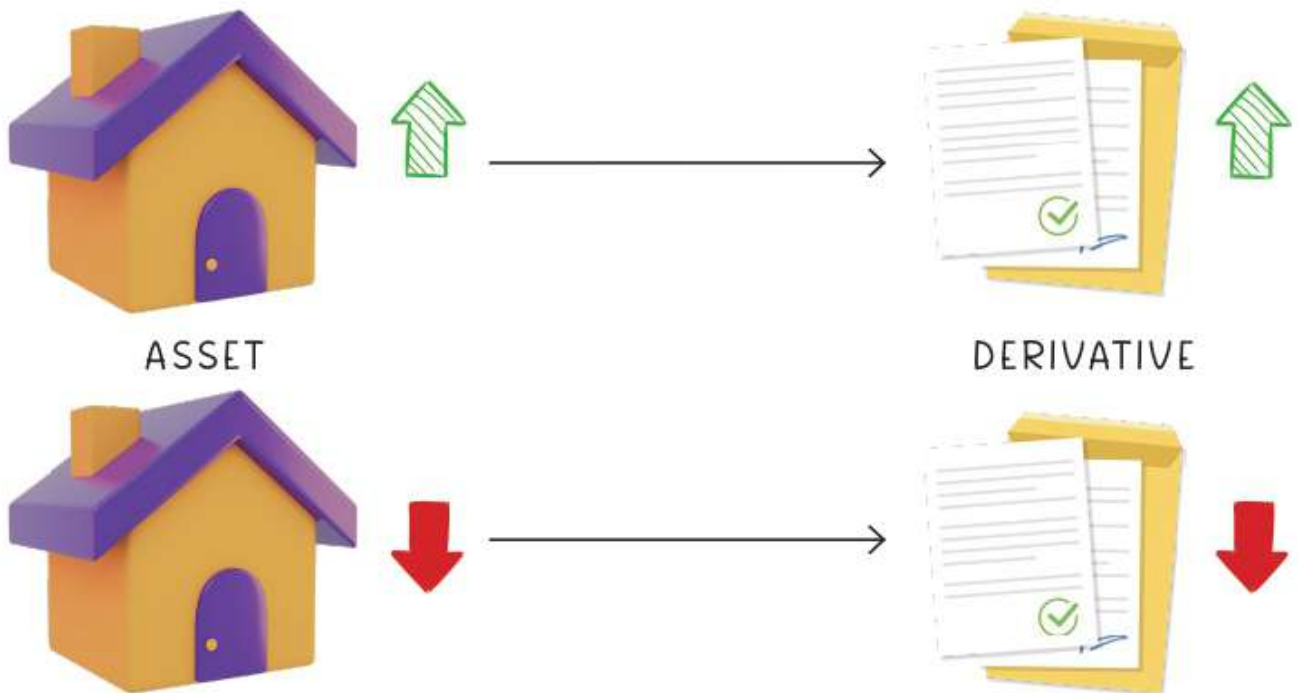


Derivatives are anything that derives its value from an underlying asset. This means that as the underlying asset changes, so do the value/price.



Hence the derivative is directly proportional to the underlying asset for its value.

For instance,

if the value of a derivative is directly proportional to an underlying asset, say wheat, then if the price of wheat is seeing an increase in its value (up move), so will the derivative.

To understand the effect of wheat i.e., the underlying asset, we first need to know and understand the core assets (the asset on which the derivative depends for its value) that a derivative might be dependent on for its value.

